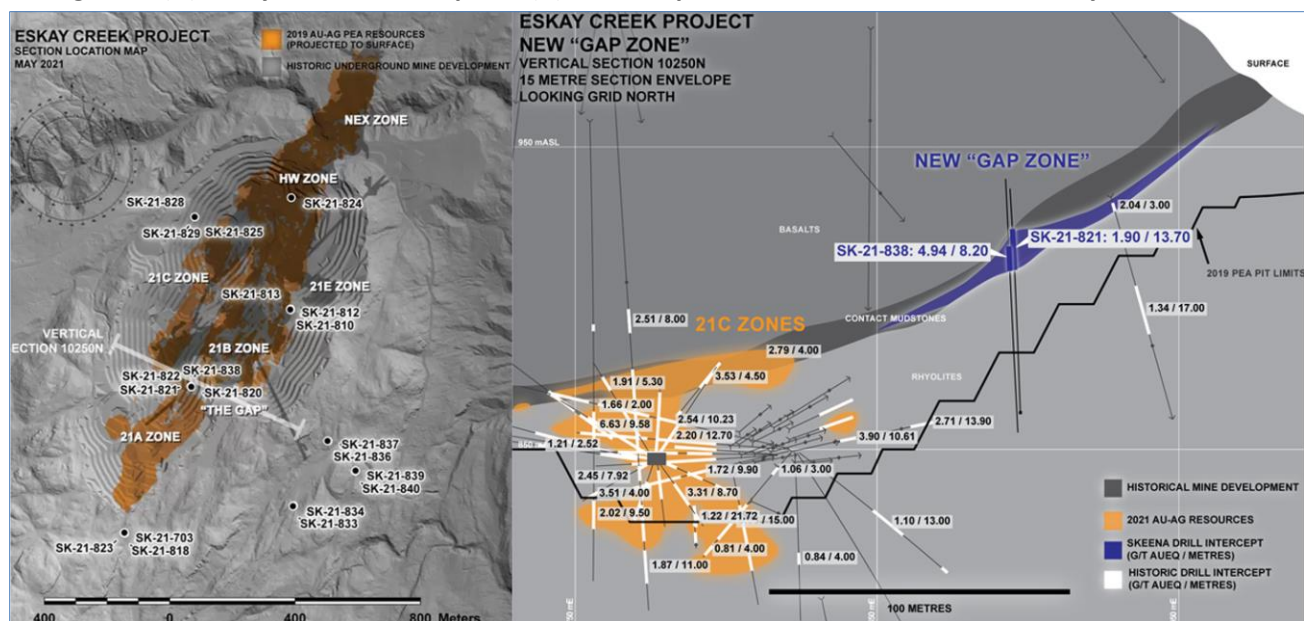


Ticker: SKE CN **Net cash:** C\$76m **Project:** Eskay Creek
Market cap: C\$791m **Price:** C\$3.62/sh **Country:** Canada, BC
RECOMMEND. (unc): BUY **TARGET** (unc): C\$4.30/sh **RISK RATING:** HIGH

Today's drilling points to the potential in pit expansions with economic grades returning from (i) 50m expansion to 21C-HW with 11.7m @ 1.3g/t AuEq and (ii) intersections of 13.7m @ 1.9g/t AuEq within the Gap zone between 21A and 21B (within the PEA pit) previously interpreted as unmineralized. Whilst not the fall-off-chair tenor of the main ore body, the proximity could bode well for lowered strip. Although this is near-resource drilling, it does point qualitatively to regional upside. For example, if we take ~350koz pa base case, add perhaps 50-70koz pa from Snip, even ~700koz from satellites could support +70koz pa and thus approach the magic half million. Early days here but plenty of room to grow. **We maintain our BUY rating and build-start 0.6xNAV_{5%-1850-24} price target of C\$4.30/sh** that includes 2.7Moz of Eskay Creek resources outside our modelled 3Moz AuEq mining inventory at an attributed US\$50/oz. We look forward to material catalysts around regional exploration, followed by a ~1Q22 FS likely to show improvements given the larger resource. Thereafter we think the recent Tahltan investment bodes well for cooperative permitting, which could see build start before the 2024 base case.

Figure 1. (A) Eskay Creek Plan map and (B) new "Gap Zone" vertical section with today's results



Source: Skeena

New Gap Zone returns 13.7m @ 1.9g/t AuEq in previously untested portion of the PEA pit

Skeena reported results from 20 holes with highlights of **11.7m @ 1.3g/t AuEq** and **16.6m @ 1.2g/t AuEq** that expanded the **21C-HW mineralization** 50m along strike to the north and remains open for further expansion. Additionally, new drilling from the previously untested **Gap zone** corridor (300m x 75m) between the 21A and 21B Zones, returned highlights of **13.7m @ 1.9g/t AuEq** and **8.2m @ 4.9g/t AuEq** within the mudstone contact (Figure 1B).

Why we like Skeena Resources

- Large high-grade open pit with SCPe >500koz upside potential in coming 12-18M
- Shift in market dynamics allows concentrate sales for lower capex
- Optionality from high-grade Snip mine nearby to blend concentrate or add ounces
- Catalyst heavy with drilling, metallurgy, PFS and DFS in coming 18M

Catalysts

- CY21: Regional drilling
- 2Q21: Permitting update
- 1Q22: BFS including expanded resource

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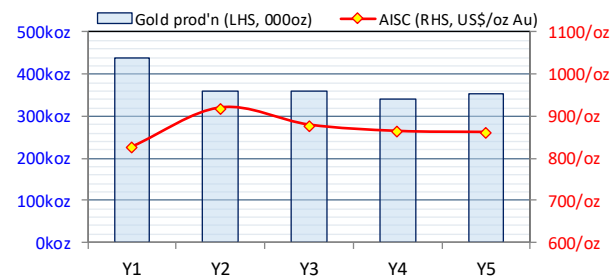
Ticker: SKE CN		Price / mkt cap: C\$3.65/sh, C\$791m					Project PNAV today: 0.63x		Asset: Eskay Creek / Snip						
Author: B Salier/ B Gaspar		Rec / 0.6xNAV P1 BUY, C\$4.3/sh					1xNAV _{1Q21} FF FD: C\$5.77/sh		Country: Canada: BC						
Commodity price		CY18A	CY19A	CY20E	CY21E	CY22E	Resource / Reserve		AuEq (koz)		AuEq (g/t)				
Gold price		1,850	1,850	1,850	1,850	1,850	Pittable resource		5425koz		4.17g/t				
SOTP project valuation*							Underground resource		224koz		5.41g/t				
		C\$m	O/ship	NAVx	C\$/sh		Snip		646koz		13.60g/t				
Ungeared proj. @ build start (2Q22)		1,429	100%	1.00x	5.87		Funding: uses		Funding: sources						
Cash 3Q20 + raise		76	100%	1.00x	0.31		PFS capex C\$303m		SCPe 1Q20 cash + options cash*		C\$59m				
Cash from options		41	100%	1.00x	0.17		SCPe G&A to 1st Au + ABX \$		C\$15m		2Q20 raise C\$33m				
Eskay Ck resources ex reserve @US\$50/oz		137	100%	1.00x	0.56		SCPe pre-production expl'n		C\$11m		Mine debt @ 60% gearing C\$212m				
Snip (US\$75/oz)		60	100%	1.00x	0.25		SCPe finance costs + wkg cap		C\$69m		Mine build equity at 20% prem. C\$150m				
Asset NAV5% C\$1850/oz		1,744			7.16		Total uses		C\$398m		Total proceeds C\$453m				
*Shares diluted for options but not mine build		Market P/NAV _{8%} 2Q20				0.55x	*Cash from options expiring pre first pour		Buffer C\$55m						
Asset value: 1xNPV project @ build start (C\$m, ungeared)*							Share data								
Project NPV (C\$m)*		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	Basic shares (m)		216.8		FD with build equity raise 275.1				
10.0% discount		1,258	1,362	1,467	1,525	1,627	FD with options (m)		243.4						
7.5% discount		1,417	1,535	1,652	1,721	1,835	Ratio analysis		CY18A	CY19A	CY20E	CY21E	CY22E		
5.0% discount		1,606	1,739	1,871	1,952	2,082	Average shares out (m)		91.3		107.3		145.3	166.7	179.5
Ungeared project IRR:		97%	103%	110%	109%	115%	EPS (C\$/sh)		-		-		-	-	-
Project NPV (C\$m)*		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	CFPS (C\$/sh)		-		-		-	-	-
3.7g/t AuEq		1,307	1,426	1,546	1,665	1,785	EV (C\$m)		332.0		379.9		516.6	589.3	812.7
4.1g/t AuEq		1,606	1,739	1,871	1,952	2,082	FCF yield (%)		-		-		-	-	-
4.5g/t AuEq		1,855	1,998	2,141	2,283	2,426	PER (x)		-		-		-	-	-
NPV5 (C\$m)*		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	P/CF (x)		-		-		-	-	-
Payability: 67%		1,307	1,426	1,546	1,665	1,785	EV/EBITDA (x)		-		-		-	-	-
Payability: 74%		1,606	1,739	1,871	1,952	2,082									
Payability: 82%		1,855	1,998	2,141	2,283	2,426									
*Project level NPV, excl finance costs and central SGA, discounted to build start							Income statement								
Group valuation over time^		1Q21	1Q22	1Q23	1Q24	1Q25	Net revenue (C\$m)		-		-		-	-	-
Eskay Creek (C\$m)		1,361	1,429	1,644	1,895	1,572	Gross profit (C\$m)		-		-		-	-	-
Net cash prior qtr (C\$m)		76	18	23	(153)	231	D&A, attrib (C\$m)		0.2		0.4		-	-	-
G&A and finance costs (C\$m)		(84)	(83)	(82)	(73)	(54)	Admin (C\$m)		4.3		4.5		5.0	5.0	5.0
Cash from options (C\$m)		41	41	41	41	41	Expensed exploration (C\$m)		11.5		12.8		-	-	-
Snip		10	10	10	10	10	Finance cost (C\$m)		(0.0)		(0.1)		-	-	(3.4)
NAV FF FD (C\$m)		1,404	1,415	1,637	1,721	1,800	Royalty (C\$m)		-		-		-	-	-
1xNAV _{5%} /sh FF FD (C\$/sh)		5.77^	5.81^	5.95*	6.26*	6.54*	Forex, other (C\$m)		(0.5)		9.5		-	-	-
Equity ROI from spot (% pa)		59%	39%	31%	26%		Taxes (C\$m)		-		-		-	-	-
Geared company NAV diluted for mine build, net G&A and finance costs							Net income (C\$m)		(15.5)		(27.1)		(5.0)	(5.0)	(1.7)
2Q22 1xNAV FF FD (C\$/sh)^		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	Cash flow, attrib.		CY18A		CY19A		CY20E	CY21E	CY22E
10.0% discount		4.82	5.23	5.65	5.88	6.28	EBIT (C\$m)		(15.5)		(27.2)		(5.0)	(5.0)	(5.0)
7.5% discount		5.31	5.77	6.22	6.49	6.93	Add back D&A (C\$m)		0.2		0.4		-	-	-
5.0% discount		5.89	6.39	6.89	7.20	7.69	Less tax + net interest (C\$m)		(0.0)		(0.1)		-	-	(3.4)
Geared project IRR:		88%	94%	101%	100%	106%	Net change in wkg cap (C\$m)		(1.4)		4.2		-	-	-
2Q22 1xNAV FF FD (C\$/sh)^		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	Add back other non-cash (C\$m)		1.6		12.0		-	-	-
Payability: 67%		4.76	5.21	5.66	6.11	6.57	Cash flow ops (C\$m)		(15.1)		(10.5)		(5.0)	(5.0)	(1.7)
Payability: 74%		5.89	6.39	6.89	7.20	7.69	PP&E - build + sust. (C\$m)		3.2		0.6		-	(139.6)	(163.6)
Payability: 82%		6.83	7.37	7.91	8.45	8.99	PP&E - expl'n (C\$m)		-		(0.2)		-	-	(11.2)
^Project NPV incl grp SG&A & fin. cost, +net cash; *diluted for mine build equity							Cash flow inv. (C\$m)		3.2		0.4		-	(139.6)	(174.8)
Production		Y1	Y2	Y3	Y4	Y5	Share issue (C\$m)		12.0		22.1		-	150.0	-
Gold production (000oz)		439	360	359	339	354	Proceeds from sale (C\$m)		-		-		-	-	-
C1 cost (US\$/oz)		813	882	847	833	818	Debt draw (repay) (C\$m)		-		-		-	70.6	141.2
AISC cost (US\$/oz)		827	920	879	864	861	Cash flow fin. (C\$m)		12.0		22.1		-	220.6	141.2
AISC = C1 + ug sustaining capex, Y1 = 12M to Dec 2024							Net change in cash (C\$m)		0.1		12.0		(5.0)	76.0	(35.3)
							EBITDA (C\$m)		(15.4)		(26.8)		(5.0)	(5.0)	(5.0)
							Balance sheet		CY18A		CY19A		CY20E	CY21E	CY22E
							Cash (C\$m)		1.1		13.1		18.1	94.1	58.8
							Acc rec., inv, prepaid (C\$m)		3.7		2.8		5.2	5.2	5.2
							PP&E + other (C\$m)		19.7		8.5		14.2	153.8	328.6
							Total assets (C\$m)		24.6		24.4		37.5	253.1	392.7
							Debt (C\$m)		-		1.5		4.5	75.1	216.3
							Accounts payable (C\$m)		1.4		4.1		11.8	11.8	11.8
							Others (C\$m)		4.6		7.2		6.2	6.2	6.2
							Total liabilities (C\$m)		6.0		12.8		22.4	93.0	234.2
							Sh'hlds equity + wrnts (C\$m)		81.6		99.2		131.2	281.2	281.2
							Retained earn'gs + rsvs (C\$m)		(63.0)		(87.6)		(116.1)	(121.1)	(122.8)
							Liabilities + equity (C\$m)		24.6		24.4		37.5	253.1	392.7

Gold prod'n (LHS, 000oz)

AISC (RHS, US\$/oz Au)

Year	Gold prod'n (000oz)	AISC (US\$/oz Au)
Y1	439	827
Y2	360	920
Y3	359	879
Y4	339	864
Y5	354	861

Source: SCP estimates



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HOLD:	0
SELL:	0
UNDER REVIEW:	0
TENDER:	0
NOT RATED:	0
TOTAL	38

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